ANNUAL REPORT 1998

Our Company Builds on the Strength of Our Brands



CANADA BREAD COMPANY, LIMITED

Canada Bread Company, Limited



Canada Bread Company, Limited is a leading Canadian manufacturer of value-added flour-based products. The Company's products include fresh bread, rolls and bagels; frozen bagels and dough products; par-baked crusty bread products; and specialty pasta and sauces. Canada Bread maintains a national presence in the marketplace with three principal brand names: *Dempster's*™, *Olivieri*™, and *Tenderflake*™. Canada Bread Company, Limited, is 68% owned by Maple Leaf Foods Inc.

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FINANCIAL HIGHLIGHTS 1998

(in thousands of dollars except per share amount)	**1998**	1997	1996	1995	1994
CONSOLIDATED RESULTS					
Sales	**$ 508,445**	$ 515,364	$ 540,251	$ 478,201	$ 424,848
Earnings from operations, before unusual items *(i)*	**19,392**	36,366	37,131	32,652	30,316
Net earnings	**2,896**	31,117	25,006	21,905	22,338
FINANCIAL POSITION					
Net assets *(iii)*	**$ 283,834**	$ 291,795	$ 277,276	$ 249,588	$ 221,850
Shareholders' equity	**230,536**	232,408	205,172	185,245	163,502
Net borrowings	**29,071**	36,650	48,950	45,183	41,993
PER SHARE					
Net earnings	**$ 0.14**	$ 1.46	$ 1.17	$ 1.04	$ 1.06
Net earnings before unusual items *(ii)*	**0.58**	1.27	1.17	1.04	1.06
Dividends	**0.24**	0.24	0.24	0.24	0.24
Book value per share	**$ 10.76**	$ 10.86	$ 9.62	$ 8.68	$ 7.78

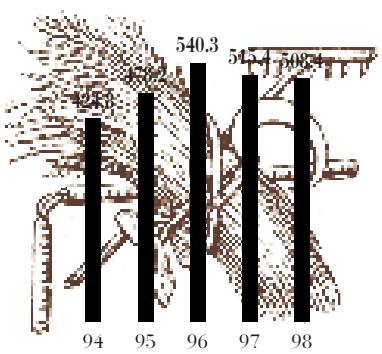
(i) Before taking account of a special earnings charge of $14.4 million in 1998.

(ii) Before taking account of a special earnings charge of $14.4 million ($9.4 million after taxes) in 1998, and a profit on sale of business of $6.3 million ($4 million after taxes) in 1997.

(iii) Total assets, less cash and non-interest bearing liabilities.

SALES

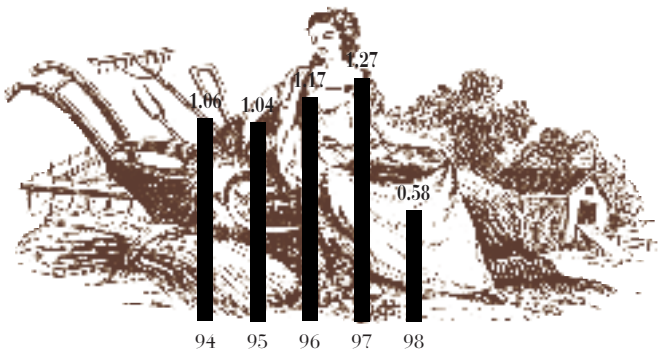
(millions of dollars)



EARNINGS PER SHARE

before unusual items *(ii)*

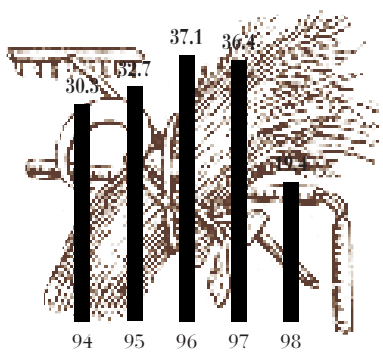
(dollars)



EARNINGS FROM OPERATIONS

before unusual items *(i)*

(millions of dollars)



REPORT TO OUR SHAREHOLDERS

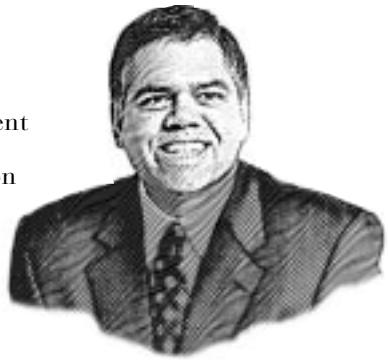
Canada Bread Company, Limited had a very disappointing and frustrating year in 1998. Before a special charge taken in the first quarter, operating earnings of $19.4 million were down 47%, earnings per share, before unusual items, of $0.58 was down 54% and Return on Net Assets was 6.4% compared to 11.0% last year.

The Company struggled to implement a number of fundamental changes to the way we do business including implementing a national bakery structure to consolidate certain management and administrative functions of the Company's regional bakery network, overhauling basic information systems and franchising fresh bread delivery routes in some territories. While consistent with our strategy to realize the full potential of our strong national market position in Canada, the process of making these changes contributed to impaired execution, resulting in volume and margin losses on fresh bread products, particularly in Western and Eastern Canada. Furthermore, changes in the retail landscape began rippling through the bakery industry in the Maritimes and Quebec, compressing margins and volumes at our Eastern Bakeries factories and affecting our 25% holding in Multi-Marques. Sustained strong performance in Ontario, the successful launch of two new national branded product lines, *Dempster's Flatbreads of the World* and *Dempster's Delicioso* Italian bread, consolidation of our bakeries in Western Canada and out-sourcing of our transportation, stemmed the tides but regrettably not enough to bring performance back on track.

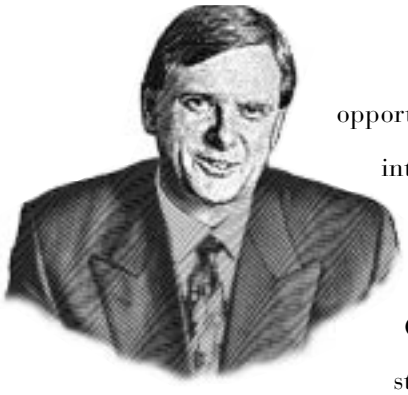
Amid the difficulties, there were some positive developments in 1998 that will strengthen the Company for the future. Sales of pasta and frozen bread products enjoyed improvements in gross margins over 1997 and enter 1999 with considerable momentum. The new Calgary plant started on time and on budget and is performing well. Exports are growing as Maple Leaf Bakeries in the United States and Maple Leaf Foods International in Asia and other areas of the world continue to find new customers for our unique products. Our *Dempster's Hot & Crusty* product is building an exceptional consumer franchise, boding well for our par-baked initiative. *Olivieri* fresh Pasta & Sauce products had a strong year, out-pacing market growth with a four share point gain from an already strong position. This, combined with improved operating efficiencies led *Olivieri* to a record performance year in 1998.

Late in the year, Canada Bread announced that it had purchased Hamilton Baking Company, Limited, a producer of bakery products including bread, rolls and buns. Canada Bread also announced that it had entered into a long-term agreement with The Great Atlantic and Pacific Company of Canada, Limited (A&P) to supply bakery products to approximately 238 A&P and affiliated grocery stores in Ontario, commencing in February 1999.

As 1998 came to a close some significant changes were made to the Company's Management team. Effective December 31, 1998 Archibald D. McLean resigned as Chairman, and David H. Lees resigned as President and Chief Executive Officer of the Company. We thank Mr. McLean and Dr. Lees for their contribution to Canada Bread over the last several years.



Richard Lan



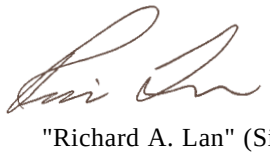
Roger Dickhout

We took over as Chairman and President and Chief Executive Officer respectively on January 1, 1999. In early January, we reviewed the priorities of the Company for the first quarter of 1999 with the top 130 executives in the Company. Special implementation efforts are underway to seamlessly integrate the Hamilton Bakery and the A&P business. In addition, a cross functional team involving many of both of our senior managers and our regional management teams, is working to identify the highest impact opportunities for action in 1999. While we believe these opportunities will produce short-term results, more importantly they will be consistent with our long-term strategy. At the time of writing, we are acting on some of the team's early findings to mobilize our regions and centralized functions around common goals, and to redouble our efforts to strengthen our execution in the field.

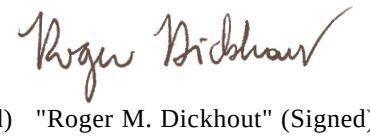
The year ahead will be challenging for Canada Bread. Obviously the highest priority is to get our fresh bread performance back on track while maintaining momentum in other areas. Following through on the important changes that were commenced last year is a key priority. We are dramatically increasing the alignment within the organization on what these changes are meant to accomplish, and instilling much higher standards of execution. While necessary, these initiatives will be insufficient. We have already begun to identify a number of areas of additional opportunity that we look forward to translating into action beginning in the second half of 1999.

We are very enthusiastic about the Company's future prospects. We understand that our first priority is to achieve a turnaround in financial performance to bring it back to historical levels. However, it is our belief that Canada Bread has the potential to play a larger role in shaping the bakery industry, and can earn better than historical financial returns. The Company is very well positioned to benefit from the further consolidation of the grocery trade and our own industry, the renewal of the commercial baking segment and growth in new segments through innovation.

We look forward to the exciting journey ahead over the next few years.



"Richard A. Lan" (Signed)
Chairman of the Board



"Roger M. Dickhout" (Signed)
President and Chief Executive Officer



Canada Bread Company, Limited (Canada Bread or the Company) experienced a difficult year in 1998 and recorded unsatisfactory results, due almost entirely to reduced profitability on the sale of fresh bread products.

Factors that had the most significant impact on results included executional difficulties in implementing a national bakery structure to consolidate certain management and administrative functions of the Company's regional bakery network; disruption in product sales in Western Canada due to a slow and difficult route franchising conversion; lower margins in Eastern Canada due to a failure to respond effectively to increased competitive activity in the region; and lower profits in Multi-Marques, the Company's 25% investment in Quebec.

Positive developments in 1998 included the Company entering into an agreement with The Great Atlantic and Pacific Company of Canada, Limited (A&P) to supply bakery products to A&P and affiliated grocery stores in Ontario, beginning in February 1999, and continuing growth in frozen product lines such as bagels and par-baked breads. The Company's Calgary bagel lines are running well, and the Company is continuing to invest in new capacity in this area. The agreement with A&P will have a positive effect on the Company's Ontario bakeries, which, together with the bakeries in the West and East, had been running below efficient capacity levels. A low capacity rate in the rest of the country continues to be a significant opportunity.

The fresh bakeries use direct store delivery as the primary customer service system. As such, the success of the Company's franchised and owned distribution routes are vital to the continued well-being of the business. The Company has operated a franchised distribution system in Ontario for some time, and in 1997 began the transition to franchised routes in Western Canada. This transition, due to executional difficulties and long union negotiations, caused a significant amount of disruption and lower sales volumes in Western Canada. Management focus and training is being devoted to this region, and while results have been showing improvement, they are not back to year-ago levels yet. It is anticipated that the Western region will record improved results in 1999.

The Company has recently made changes in the business and compensation arrangements for franchisees that are expected to improve the effectiveness of these routes, and improve both the strength of the franchise operators and improve sales mix and profitability.

During 1998, the streamlining of the Company's brands into three strong national brands, supported by countrywide advertising, continued. This initiative was mostly completed during the year, and the challenge during 1999 will be to leverage these brands through innovative product development and effective consumer support.



As a part of the consolidation into a national bakery, and to meet Year 2000 requirements, a plan to install standardized accounting systems across the Company was initiated during 1996. While the installation of base computer modules was successfully completed, the installation of fresh bread distribution and billing software was not accomplished smoothly. These installations will be substantially completed by the end of March 1999, and are expected to significantly enhance the efficiency of accounting and reporting throughout the Company.

Product development during 1998 focused on increasing the penetration of products introduced during 1997. These included *Dempster's* fresh Premium Bagels and *Dempster's Flatbreads Of The World*, a complete line of flour tortillas and wraps. These product introductions are recording good growth. During 1998, a new line of premium pasta and sauces under the *Olivieri* brand were developed and early indications are promising.

While Canada Bread's principal business focus is the Canadian marketplace, selected opportunities are being pursued in the United States and Asian markets through the relationship with Maple Leaf Foods International and Maple Leaf Bakeries U.S.A. Profitably accessing these large growth markets results in improved asset utilization of existing Canadian assets, incremental profitability to the core Canadian business, and improved competitive advantage in Canadian markets through low cost manufacturing facilities and process technology.

This strategy links Canada Bread's product development and manufacturing strengths with the sales and marketing expertise of Maple Leaf Foods Inc. for product sales in targeted markets. A wide range of frozen bagel, bakery and par-bake bread products are being sold into the U.S., U.K. and Asian markets.

The Company's principal measure of financial success is RONA (Return On Net Assets). In 1998, RONA before unusual items was 6.4%, a decline from 11% in 1997, due to the weaker earnings performance.

FINANCIAL RESULTS

This financial review and analysis should be read in conjunction with the Consolidated Financial Statements and related notes included in the Annual Report to Shareholders of Canada Bread.

Sales

Sales of $508.4 million decreased by 1.3% compared to 1997 sales of $515.4 million. These sales declines are due almost entirely to lower fresh bread sales in Eastern and Western Canada, as the remaining product lines recorded improvements in sales volume.

Unusual Items

In the first quarter, the Company recorded a special charge to earnings of $14.4 million ($9.4 million after tax) relating to the costs of centralization and asset realignment. Activity during 1998 relating to this charge included closure of the Company's Winnipeg, Manitoba, Montreal, Quebec and Berwick, N.S. bakeries and severances related to the centralization of bakery operations.

Earnings from Operations

Earnings from operations before unusual items of $19.4 million compare to $36.4 million in 1997. The decrease in earnings is due entirely to reduced sales and lower margins on fresh bread sales, as margins on other products improved over last year.

Before the effect of unusual items in 1998 and the profit on the sale of Brooklyn Bagel Boys in 1997, net earnings of $12.3 million ($0.58 per share) compares to $27.1 million ($1.27 per share) in 1997.

Other Income

On January 2, 1997, the Company sold Brooklyn Bagel Boys, Inc. to Maple Leaf Foods Inc. Total proceeds of US$20.4 million (approximately Cdn$27 million) was received and resulted in a gain of $6.3 million before taxes which is included in Other Income. *Additional details of this transaction are included in Note 12 to the Consolidated Financial Statements.*

Also included in Other Income is the equity earnings share of Canada Bread's 25% investment in Multi-Marques Inc. These equity earnings decreased to $2.4 million from $4.8 million in 1997.

Interest Expense

Net interest expense increased 57% to $2.2 million in 1998 from $1.4 million in 1997 due primarily to higher borrowing levels as a result of lower operating earnings and investment in capital projects.

FINANCIAL CONDITION

Liquidity and Capital Resources

Canada Bread finances its operations primarily out of cash flow from operations. In addition, to provide it with further liquidity, the Company and its subsidiaries have aggregate lines of credit of $77 million at year-end with major Canadian banks. Of this amount, $40 million is a revolving term loan under which $26.6 million was drawn at year-end. A further $2.1 million was drawn under the remaining $37 million of operating lines. During 1998, Canada Bread established a $10 million Accounts Receivable Securitization Program to provide an alternative source of competitively priced financing. At year-end $10 million of accounts receivable had been sold under this program.

Management is of the opinion that current sources of funding provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program.

Management also believes that if further financial resources were required, the Company's balance sheet strength and cash flow from operations would provide it with access to significantly greater funding. *Additional details concerning financing are set out in Note 6 to the Consolidated Financial Statements.*

Dividends

Dividends paid in 1998 equaled $0.24 per share (1997: $0.24), resulting in a cash outflow of $5.1 million (1997: $5.1 million).

Capital Expenditures

Net additions to fixed assets decreased to $14.4 million from $51.2 million in 1997. Principal investments during the year included the installation of new computer systems, purchase and installation of a new par-bake hearth bread line and the relocation of the Venice bakery to new premises in British Columbia. In 1997, capital expenditures included construction of the Company's bagel and par-bake bread manufacturing facility in Calgary, Alberta, which was opened in the early fall of 1997.

Risk Management

The Company has financial risks to varying degrees relating to interest rates, foreign exchange and commodity pricing. The cost of flour, which represents a large component of the Company's raw material costs, is directly impacted by wheat prices and quality, which are often volatile. The Company manages its exposure to fluctuating flour prices through the use of forward purchase contracts.

Canada Bread also manages its exposure to interest rates by the use of interest rate derivative financial instruments, while foreign exchange currency contracts are used where appropriate to fix exchange rates on export sales and expenditures denominated in foreign currencies. *Information on the Company's use of derivative products during 1998 and its year end positions is set out in Note 7 to the Consolidated Financial Statements.*



The Year 2000 poses a significant risk to businesses that are reliant on computer systems that use the last two digits to represent a year. In 1996, the Company began a process of replacing almost all of its primary enterprise computing systems with new, standard platforms across its operations to improve efficiencies and facilitate the streamlining of processes. Management is confident that these systems will be in place on the expected dates.

In addition, all of the Company's manufacturing and sales operations are reliant to some degree on production systems that include process controllers and software that may be date dependent. The Company has identified and tested all critical systems and has plans in place to replace or alter all systems that have been identified as not being Year 2000 ready.

The Company has in place a formal process to monitor and report upon progress. The Company had previously set a goal of ensuring internal compliance for all systems identified as critical by March 1999. As of February 1999, this goal had been achieved for over 90% of internal critical systems. By June 1999, all other non-critical systems are expected to be internally compliant.

Since 1996, the Company has expended approximately $7.2 million on upgrading or replacing computer systems. While these expenditures have been focused towards improving the efficiency of the Company's systems, these expenditures have also had the effect of ensuring Year 2000 compliance in those areas. The Company will incur approximately $1.4 million in incremental costs to replace or alter systems to meet Year 2000 compliance.

The Company is also monitoring the compliance of its major customers, suppliers and other trading partners, and is seeking confirmation of Year 2000 readiness from those third parties where non-compliance would significantly, directly or indirectly, impact on the Company's business. Management will consider contingency plans, or seek alternative suppliers, depending on responses received. However, because the Company does not have direct control over such entities, there can be no assurance that the systems of other companies with which the Company interacts will be Year 2000 compliant or that any failure by another company in this respect would not have an adverse effect on the Company's operations.

Environment

Canada Bread is conscious of its responsibility to the environment, and operates within an overall environmental policy that has been formally approved by the Board of Directors. The Board of Directors and through independent compliance audits, monitors compliance with the policy on a regular basis. The Company's emphasis on the environment extends to the operation of its plants and the impacts of these operations on air and water quality, the handling of toxic and dangerous chemicals and the use of packaging. The Company strives to exceed required environmental compliance, and to provide a safe workplace for its employees. Resources, training and capital expenditures are directed to these areas to ensure that the Company continues to meet its responsibilities. The Company is in material compliance with existing environmental legislation. Expenditures relating to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company.

Related Party Transactions

Maple Leaf Foods Inc. and its subsidiary, Maple Leaf Foods USA Inc., provide certain management and other services to Canada Bread. The Company's Audit Committee reviews these arrangements on a regular basis. *See Note 13 to the Consolidated Financial Statements for further details.*

Innovative Product Development



Increasing emphasis is placed on test marketing and launching new products. Competitive advantages are achieved by bringing innovation to the market quickly and effectively.

CANADA BREAD

Dempster's Premium Blueberry Bagels, Dempster's Sun-dried Tomato Flatbreads of the World Wraps and Dempster's Sesame White Bread, Olivieri Fusilli Fresh Pasta

Brand Strength



We are focused on outstanding media advertising which results in strong consumer awareness and preference for our distinctive Canada Bread brands.

CANADA BREAD

Dempster's Enriched Scone White Bread and Hot & Crusty Bread, Olivieri Agnolotti with Cheese and Basil and Olivieri Smoked Pacific Salmon Sauce

Commitment to Quality



Continual quality improvement programs and new processing technologies ensure our position as Canada's leading supplier of exceptional value-added bakery and flour-based products.

CANADA BREAD

Dempster's 12 Grain Bread, Dempster's Hot & Crusty Fresh Specialty Breads and Fresh Bakery Products

Taste, Nutrition and Value



Our products deliver the taste, nutrition and value that consumers have come to expect from Canada Bread.

CANADA BREAD

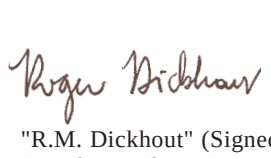
Dempster's Orange Cranberry Bread and Dempster's Flatbreads of the World Cheese Wraps, Olivieri Rainbow Tortelinni with Meat

MANAGEMENT'S STATEMENT OF RESPONSIBILITY

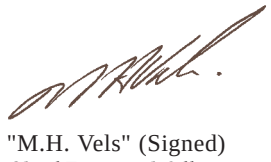
Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The consolidated financial statements and related information in the annual report are the responsibility of management. The consolidated financial statements have been prepared in accordance with generally accepted accounting principles which involve the use of judgement and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the consolidated financial statements.

The Company maintains systems of internal controls which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's consolidated financial statements. Their opinion is based upon audits conducted by them in accordance with generally accepted auditing standards to obtain reasonable assurance that the consolidated financial statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically, with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.



"R.M. Dickhout" (Signed)
President and
Chief Executive Officer



"M.H. Vels" (Signed)
Chief Financial Officer

AUDITORS' REPORT

To the Shareholders of Canada Bread Company, Limited

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 1998 and December 27, 1997 and the consolidated statements of earnings, retained earnings and changes in financial position for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 1998 and December 27, 1997 and the results of its operations and the changes in its financial position for the years then ended in accordance with generally accepted accounting principles.

Toronto, Canada,
February 25, 1999.



"KPMG LLP" (Signed) Chartered Accountants

CONSOLIDATED BALANCE SHEETS

(thousands of Canadian dollars) As at	**December 31, 1998**	December 27, 1997
ASSETS		
Current assets:		
Accounts receivable (note 3)	**$ 27,029**	$ 43,988
Due from related company (note 13)	**3,330**	6,299
Inventories	**13,599**	13,986
Prepaid expenses	**3,334**	3,798
Income taxes receivable	**3,874**	—
	51,166	68,071
Investment in associated company	**45,768**	45,123
Property and equipment (note 5)	**160,773**	165,768
Goodwill	**80,565**	78,609
	$ 338,272	$ 357,571
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Bank indebtedness (note 6)	**$ 2,121**	$ 5,581
Accounts payable and accrued charges	**53,153**	57,991
Dividends payable	**1,285**	1,284
Income taxes payable	**—**	6,501
Current portion of long-term debt (note 6)	**76**	197
	56,635	71,554
Long-term debt (note 6)	**26,874**	30,872
Deferred income taxes	**24,121**	22,641
Minority interest	**106**	96
Shareholders' Equity (note 8)	**230,536**	232,408
	$ 338,272	$ 357,571

See accompanying notes to consolidated financial statements

On behalf of the Board:



"Roger Dickhout" (Signed) Director "John Bragg" (Signed) Director

CONSOLIDATED STATEMENTS OF EARNINGS

(thousands of Canadian dollars, except per share amounts) Years ended	**December 31, 1998**	December 27, 1997
Sales	**$ 508,445**	$ 515,364
Earnings from operations, before unusual items	**19,392**	36,366
Unusual items (note 4)	**(14,401)**	—
Earnings from operations	**4,991**	36,366
Other income (note 10)	**2,568**	12,631
Earnings before interest and taxes	**7,559**	48,997
Interest expense (note 6)	**2,181**	1,432
Earnings before income taxes	**5,378**	47,565
Income taxes (note 11)	**2,472**	16,420
Earnings before minority interest	**2,906**	31,145
Minority interest	**(10)**	(28)
Net earnings	**$ 2,896**	$ 31,117
Earnings per share (note 9)	**$ 0.14**	$ 1.46

See accompanying notes to consolidated financial statements

CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

(thousands of Canadian dollars) Years ended	**December 31, 1998**	December 27, 1997
Retained earnings, beginning of year	**$ 195,813**	$ 169,827
Net earnings	**2,896**	31,117
Dividends declared	**5,138**	5,131
Retained earnings, end of year	**$ 193,571**	$ 195,813

See accompanying notes to consolidated financial statements

CONSOLIDATED STATEMENTS OF CHANGES IN FINANCIAL POSITION

(thousands of Canadian dollars) Years ended	**December 31, 1998**	December 27, 1997
OPERATING ACTIVITIES		
Net earnings for the year	**$ 2,896**	$ 31,117
Add (deduct) items not affecting cash:		
Depreciation	**14,773**	14,979
Amortization	**2,800**	2,321
Undistributed earnings of an associated company	**(645)**	(2,655)
Deferred income taxes	**4,554**	1,875
Minority interest	**10**	28
Gain on sale of business	**—**	(4,000)
Non-cash amounts included in unusual items	**4,495**	—
Changes in non-cash working capital	**4,048**	(6,172)
Cash provided from operating activities	**32,931**	37,493
FINANCING ACTIVITIES		
Dividends	**(5,137)**	(5,128)
Dividends paid to minority interest	**—**	(14)
Repayment of long-term debt (note 6)	**(4,140)**	(9,559)
Repayment of debt to Maple Leaf (note 6)	**—**	(3,531)
Issue of share capital (note 9)	**370**	964
Cash provided from (used in) financing activities	**(8,907)**	(17,268)
INVESTING ACTIVITIES		
Additions to property and equipment	**(14,376)**	(51,191)
Purchase of net assets of business (note 12)	**(6,188)**	—
Net proceeds on disposal of business (note 12)	**—**	30,176
Cash used in investing activities	**(20,564)**	(21,015)
Net increase (decrease) in cash during the year	**3,460**	(790)
Bank indebtedness, net of cash, beginning of year	**(5,581)**	(4,791)
Bank indebtedness, net of cash, end of year	**$ (2,121)**	$ (5,581)

See accompanying notes to consolidated financial statements

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

December 31, 1998 and December 27, 1997 (tabular amounts in thousands of dollars)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and all of its subsidiaries operate in the bakery industry. Its principal business comprises the manufacture and sale of a variety of bakery and pasta products, including fresh bread and rolls, bagels and par-baked bread. In 1998, the fiscal year end of the Company was changed to December 31, 1998. Canada Bread is 68% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company:

The preparation of periodic financial statements necessarily involves the use of estimates and approximations. Should the underlying assumptions change, the actual amounts could differ from those estimated.

a) Principles of consolidation

The accompanying consolidated financial statements include the accounts of Canada Bread and its subsidiaries.

The Company owns a 25% interest in Multi-Marques Inc. of Quebec which is accounted for using the equity method.

b) Inventories

Inventories, consisting primarily of ingredients and supplies, are valued at the lower of cost and replacement cost, as determined using the first-in, first-out method.

c) Property and equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Depreciation is calculated using the straight-line basis at the following rates which is based on the expected useful life of the asset:

Buildings	2½% – 5%
Machinery and equipment	7½% – 33⅓%
Leasehold improvements	over the term of the lease

d) Goodwill

The excess of the purchase price over the estimated fair value of identifiable net assets acquired represents goodwill. Goodwill is amortized substantially over forty years on a straight-line basis. The Company annually reviews the carrying value of goodwill to determine if an impairment has occurred. The Company measures the potential impairment of goodwill by comparing the undiscounted value of expected future operating income before income taxes, interest and amortization of goodwill to the carrying value of goodwill. Any permanent impairment in the value of goodwill is written off against earnings.

e) Translation of foreign currencies

Monetary assets and liabilities denominated in foreign currencies are translated at year-end exchange rates; exchange gains and losses are recognized in current earnings.

f) Pension costs and obligations

The Company and its subsidiaries maintain defined benefit pension plans which provide retirement benefits for the employees. The market value of pension assets is determined using a five-year moving average basis. Pension obligations are determined by the Company's actuaries, using the accrued actuarial method and based on management's best estimate assumptions. Changes in the net value of pension assets or obligations arising from experience gains or losses, changes in assumptions and plan amendments and the net pension asset not previously recognized at the date the policy was implemented are amortized on a straight-line basis over the expected average remaining service life of the employee groups covered by the plans.

g) Financial instruments

The Company enters into hedging arrangements to manage its exposure to currency, commodity price and interest rate fluctuations. The gains and losses on these hedging instruments are recognized in the consolidated financial statements in the same period and are matched with the same financial statement category as the income or expense item to which the hedged position relates. Any accrued amounts receivable and payable under the terms of such contracts are included in accounts receivable and accounts payable, respectively.

h) Comparative figures

Certain comparative figures have been reclassified to conform with the financial statement presentation adopted in the current year.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program established on September 30, 1998 the Company has sold, with limited recourse, certain of its trade accounts receivable to a bank. At December 31, 1998, trade accounts receivable amounting to $10 million had been sold under this program.

4. UNUSUAL ITEMS

A charge of $14.4 million ($9.4 million, net of tax) was recorded in the first quarter of 1998 for the costs associated with writing down the carrying value of several operations designated for closure

and assets identified as non-core and the costs to complete a restructuring program. The bakery facilities at Winnipeg, Berwick and Montreal were closed during 1998. Included in the earnings charge is an amount of $0.3 million relating to the write-down of goodwill associated with the non-core operations.

At December 31, 1998, approximately $3.3 million of the earnings charge relating principally to severance and rationalization costs is included in accounts payable and accrued charges.

5. PROPERTY AND EQUIPMENT

	1998	1997
Cost		
Land	**$ 13,198**	$ 13,751
Buildings	**46,439**	42,520
Machinery and equipment	**176,156**	180,906
Construction in progress	**16,868**	13,728
	252,661	250,905
Accumulated depreciation		
Buildings	**12,570**	12,463
Machinery and equipment	**79,318**	72,674
	91,888	85,137
Net book value	**$ 160,773**	$ 165,768

6. FINANCING

Bank Indebtedness

The Company has demand operating facilities of $37 million for short term borrowing requirements which bear interest at short term rates. Drawings under these facilities were $2.1 million at December 31, 1998 (1997 – $5.6 million). Interest on short-term debt expensed during the year was $0.3 million (1997 – $0.1 million).

The unsecured loan from Maple Leaf was repaid on January 2, 1997 (note 12).

Long Term Debt

The Company has two 364-day revolving committed facilities with Canadian chartered banks, each for $20 million. These facilities are available through September 2001 and are extended annually at the lender's option. These facilities bear interest based on Banker's Acceptance rate for Canadian dollar loans and LIBOR for US dollar loans.

	1998	1997
Revolving term facility	**$ 26,600**	$ 30,600
Obligations under capital leases and other long-term debt	**350**	469
	26,950	31,069
Less current portion	**76**	197
	$ 26,874	$ 30,872

Interest on long-term debt expensed during the year was $1.9 million (1997 – $1.3 million).

7. FINANCIAL INSTRUMENTS

In the ordinary course of business, the Company enters into derivative financial instruments to manage underlying cash flow risks associated with foreign currency and interest rates. The Company does not use derivative financial instruments for trading or speculative purposes.

Foreign currency risk management

The Company uses forward contracts to manage its cash flow exposure to sales or purchases denominated in foreign currencies, primarily US dollars.

At December 31, 1998 the Company had outstanding commitments to sell forward US$10.2 million (1997 – US$22.7 million) to Maple Leaf. The Company has designated these contracts as a hedge of export sales in future fiscal periods as follows:

1999	US$ 3.0 million
2000	US$ 3.0 million
2001	US$ 3.0 million
2002	US$ 1.2 million

Based on the exchange rate at December 31, 1998, the Company would have incurred a loss of $1.1 million to settle these contracts. (1997 – loss of $0.3 million.)

Interest rate risk management

The Company uses interest rate conversion agreements ("swaps") to manage its exposure to interest rate fluctuations associated with the Company's debt balance. At December 31, 1998 the Company had one swap contract, with a notional amount of $21 million and a maturity date of June 10, 2008, in place with Maple Leaf. Under this swap contract, the Company pays 5.64% and receives the 90-day Banker's Acceptance rate on the notional amount.

The Company's blended average cost of borrowing for the year ended December 31, 1998 was 5.5% (1997 – 5.2%) after including the payments made under swap contracts in place in 1998.

Based on the market value of the swap contract at December 31, 1998, the Company would have incurred a loss of $0.6 million to terminate the contract (1997 – loss of $0.1 million). The market value of the swap contract was determined by obtaining a quote from a bank for a similar financial instrument.

8. SHAREHOLDERS' EQUITY

	1998	1997
Share capital	**$ 36,965**	$ 36,595
Retained earnings	**193,571**	195,813
	$ 230,536	$ 232,408

9. SHARE CAPITAL

Details of share transactions during the year are as follows:

	Unlimited Common Shares	
	Shares	Amount
Balance December 28, 1996	21,336,812	$ 35,631
1997 transactions:		
Issued for cash on exercise of options	56,000	964
Balance December 27, 1997	21,392,812	$ 36,595
1998 transactions:		
Issued for cash on exercise of options	24,000	370
Balance December 31, 1998	21,416,812	$ 36,965

The Board of Directors have approved the issue of stock options to certain members of the Company's management. Up to 940,000 shares may be issued under this plan. To date 637,000 options have been granted, all of which have been exercised or canceled. Options to purchase 303,000 shares remain available to be granted in the future.

No significant dilution of earnings per common share would have resulted had all shares under the plan been issued.

10. OTHER INCOME

	1998	1997
Earnings from an associated company	**$ 2,398**	$ 4,800
Gain on sale of property and equipment	**82**	480
Gain on sale of business	**—**	6,300
Other	**88**	1,051
	$ 2,568	$ 12,631

11. INCOME TAXES

A reconciliation comparing income taxes (on earnings before income taxes excluding equity earnings from an associated company) calculated at the statutory rates to the amount provided in the accompanying consolidated financial statements is as follows:

	1998			1997
	Total	**Special Charge**	**Excluding Special Charge**	
Combined statutory rates	**$ 2,412**	**$ (6,460)**	**$ 8,872**	$ 19,190
Increase (decrease) from:				
M & P credit	**(387)**	**1,036**	**(1,423)**	(2,675)
Non-taxable (gains) losses	**(133)**	**40**	**(173)**	(379)
Non-deductible goodwill amortization	**1,344**	**352**	**992**	739
Other	**(764)**	**54**	**(818)**	(455)
Total income taxes	**$ 2,472**	**$ (4,978)**	**$ 7,450**	$ 16,420
Represented by:				
Current income taxes	**$ (2,516)**	**$ 2,896**		$ 14,541
Deferred income taxes	**(2,462)**	**4,554**		1,879
	$ (4,978)	**$ 7,450**		$ 16,420

12. ACQUISITIONS AND DIVESTITURES

On November 7, 1998, the Company acquired the shares of Hamilton Baking Company (1998) Limited of Hamilton, Ontario.

The acquisition was accounted for by the purchase method with the results of operations being consolidated with those of the Company from the date of acquisition.

Details of the net assets acquired at assigned values are as follows:

	1998
Net working capital	$ (127)
Property and equipment	957
Goodwill	4,767
	5,597
Long term debt assumed	(21)
Deferred tax	612
Total consideration	$ 6,188

On January 2, 1997, the Company sold Brooklyn Bagel Boys, Inc. and its 80% partnership interest in its related financing company to Maple Leaf. Total proceeds of US$20.4 million (Cdn$27 million) was

received and resulted in a net after-tax gain on sale of $4 million. The sale price was determined by a valuation conducted by an independent valuator and was approved by a committee of independent members of the Board of Directors. In connection with this transaction, the loan from the Parent Company of $3.5 million outstanding at December 28, 1996 was repaid on January 2, 1997.

13. RELATED PARTY TRANSACTIONS

a) A significant portion of the Company's sales to the U.S. and other export markets are through related companies during the normal course of operations and have been recorded at the market amounts.

b) Maple Leaf provides the Company with certain management services including treasury, taxation, internal audit, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $3.4 million (1997 – $2.7 million) to Maple Leaf which approximates the cost of providing these services.

c) The Company entered into a Management Services Agreement with Maple Leaf Foods USA Inc. (Maple Leaf U.S.A.), whereby Maple Leaf U.S.A. administered and supervised the management of the Company's U.S. operations commencing January 1996. The cost of providing this service was included in the management and affiliation fee. Both agreements were approved by the independent members of the Board of Directors. Under this arrangement, sales of product in the U.S. that is manufactured in the Company's facilities are managed by Maple Leaf U.S.A. The sales value and profitability related to these sales are recorded in the Company's financial statements.

d) The Company receives certain information system services from Maple Leaf and is charged for direct costs incurred.

14. PENSION PLANS

The approximate present value of accrued pension benefits at December 31, 1998 was $50.3 million (1997 – $48.1 million). The net assets of these pension plans, at market related values, were approximately $62.3 million (1997 – $56.0 million).

15. COMMITMENTS AND CONTINGENCIES

The Company has operating lease commitments in respect of property and equipment used in operations which require minimum annual payments as follows:

1999	$ 8,389
2000	6,730
2001	4,135
2002	1,820
2003	1,609
Thereafter	1,306
	$ 23,989

In the normal course of business, the Company enters into sales commitments with various customers, and purchase commitments with various suppliers. These commitments are for varying terms, and can provide for fixed or variable prices. The Company believes these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

16. YEAR 2000 ISSUE

The Year 2000 Issue arises because many computer systems use two digits rather than four to identify a year. Date sensitive systems may recognize the Year 2000 as 1900 or some other date, resulting in errors when information using Year 2000 dates is processed. The effects of the Year 2000 Issue may be experienced before, on, or after January 1, 2000, and, if not addressed, the impact on operations and financial reporting may range from minor errors to significant systems failure which could affect an entity's ability to conduct normal business operations. The Company has developed and is implementing a process involving a phased approach designed to mitigate the expected effects of the Year 2000 Issue on the Company. As at December 31, 1998 the identification and assessment phases of the Year 2000 process, which address the Year 2000 readiness of the Company's computer systems, and of third parties, such as customers, suppliers and others, was ongoing. The Company has commenced the remediation phase, which is intended to modify, retire or replace computer systems identified to date which are not Year 2000 ready. However, it is not possible to be certain that all aspects of the Year 2000 Issue affecting the Company, including those related to the efforts of customers, suppliers, or other third parties, will be fully resolved.

CORPORATE DIRECTORY

DIRECTORS

R.A. Lan
Chairman of the Board
J.L. Bragg
R.M. Dickhout
S.A. Everett
C.J. Mayer
G.W.F. McCain
J.S. McCain
M.H. McCain
T.P. Muir
J.F. Petch

SENIOR MANAGEMENT

R.M. Dickhout
President and Chief Executive Officer
D.A. Bradd
Executive Vice-President, Operations
R.I. Busch
Senior Vice-President, Human Resources
P.A. Nelson
Senior Vice-President, Technical Services
L.J. Palko
Vice-President, Finance and Secretary-Treasurer
A.G. Sellery
Senior Vice-President
C.T. Sparkes
Senior Vice-President, Retail Sales
A. Tavares
Executive Vice-President, Finance
M.H. Vels
Chief Financial Officer

SHAREHOLDER INFORMATION

AUDITORS

KPMG LLP

REGISTRAR AND TRANSFER AGENT

Montreal Trust Company of Canada, Limited

HEAD OFFICE

10 Four Seasons Place
Etobicoke, Ontario M9B 6H7
(416) 622-2040

ANNUAL INFORMATION FORM

Copies of the Company's Annual Information Form, filed with regulatory authorities, are available from the Corporate Secretary, upon request.

ANNUAL MEETING

The Annual Meeting of the Shareholders of Canada Bread Company, Limited will be held at the Royal York Hotel, Upper Canada Room, 100 Front Street West, Toronto, Ontario, on Wednesday April 28, 1999, at 10:00 o'clock in the forenoon.

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